

ASSIGNMENT # 1

33. PSO

[HTTPS://DPS.PSX.COM.PK/COMPANY/PSO](https://dps.psx.com.pk/company/ps0)

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Task (a)

1. Business Case & Financial Evaluation:

	A	B	C	D	E	F	G	H
1	Fiscal Years	Gross Sales (Revenue)	Projected Base Revenue	CRM Benefit (1%)	CRM OpEx (0.1%)	Net Cash Flow		
2	FY 2023	3,391,111,978	3,571,750,306	3,149,389,439	Projection	Projection		
3	FY 2024	3,571,750,306	24,815	28,509				
4	FY 2025 (Y0)	3,149,389,439	---	---	---	62,987,789		
5	FY 2026 (Y1)	3,028,528,170	3,028,528,170	30,285,282	3,028,528	27,256,754		
6	FY 2027 (Y2)	2,907,666,900	2,907,666,900	29,076,669	2,907,667	26,169,002		
7	FY 2028 (Y3)	2,786,805,630	2,786,805,630	27,868,056	2,786,806	25,081,250		
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9	Net Present Value (NPV)	Rs. 1,684,212,000						
10	Internal Rate of Return	11.90%						
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Gross Sales (Revenue)

Fiscal Year	Gross Sales (Revenue)
FY 2023	3,391,111,978
FY 2024	3,571,750,306
FY 2025 (Y0)	3,149,389,439
FY 2026 (Y1)	3,028,528,170
FY 2027 (Y2)	2,907,666,900
FY 2028 (Y3)	2,786,805,630

Chart Title

Fiscal Year	CRM Benefit (1%)	CRM OpEx (0.1%) Projection
FY 2024	28,509	---
FY 2025 (Y0)	---	---
FY 2026 (Y1)	30,285,282	3,028,528
FY 2027 (Y2)	29,076,669	2,907,667
FY 2028 (Y3)	27,868,056	2,786,806

2. Risk Identification & Assessment:

	Risk Description	Occurrence Probability	Impact	Mitigation Strategy (Optional but recommended)
1	Data Integration Complexity: Difficulty syncing the new CRM with PSO's existing legacy ERP and SAP systems across 3,500+ outlets.	High	High	Phase the rollout by region (e.g., Karachi first) to test integration.
2	Low Adoption by Station Staff: Front-end fuel station staff may find it difficult or time-consuming to input customer data (DigiCash/Loyalty) during peak hours.	High	Medium	Provide simplified mobile interfaces and incentives for staff who hit data entry targets.
3	Data Privacy & Cybersecurity: Risk of customer personal data or transaction history being leaked, leading to legal penalties from regulators.	Low	Critical	Implement end-to-end encryption and conduct regular third-party security audits.

	Risk Description	Occurrence Probability	Impact	Mitigation Strategy (Optional but recommended)
4	Inaccurate Linear Projections: If fuel prices fluctuate wildly or the economy slows, the "1% Revenue Increase" might not materialize as projected.	Medium	High	Perform quarterly reviews of the business case and adjust marketing spend accordingly.
5	Connectivity Issues at Remote Sites: Many PSO stations are in rural areas with poor internet, preventing real-time CRM updates.	Medium	Medium	Use "Offline-First" application architecture that syncs data once a connection is restored.

Task (b)

Step 1: Identify Project Scope and Objectives

- **1.1 Identify Objectives:** To implement a CRM system that increases customer retention and repeat fuel/lubricant sales by 1% through targeted loyalty programs (DigiCash) and fleet management.
- **1.2 Establish Project Authority:** PSO's IT Department and Retail Marketing Division.
- **1.3 Stakeholder Analysis (PSO Specific):**
 - **Internal:** PSO Board of Management, IT Department (System Admins), Retail Marketing Team, Fuel Station Managers.
 - **External:** Retail Customers (Commuters), Corporate Fleet Owners (Logistics companies), SBP/Regulators (for financial data compliance).
- **1.4 Modify Objectives:** Ensure the CRM can handle offline transactions at remote fuel stations in Balochistan or Northern areas.

Step 2: Identify Project Infrastructure

- **2.1 Project Standards:** ISO 27001 for data security; Agile methodology for software development.
- **2.2 Identify Measurement Scales:** Success is measured by the number of active loyalty cards and the "Repeat Purchase Rate."
- **2.3 Resource Categories:** Hardware (Servers at PSO House), Software (CRM Licenses), Personnel (Database Engineers, Training Staff).

Step 3: Analyze Product Characteristics

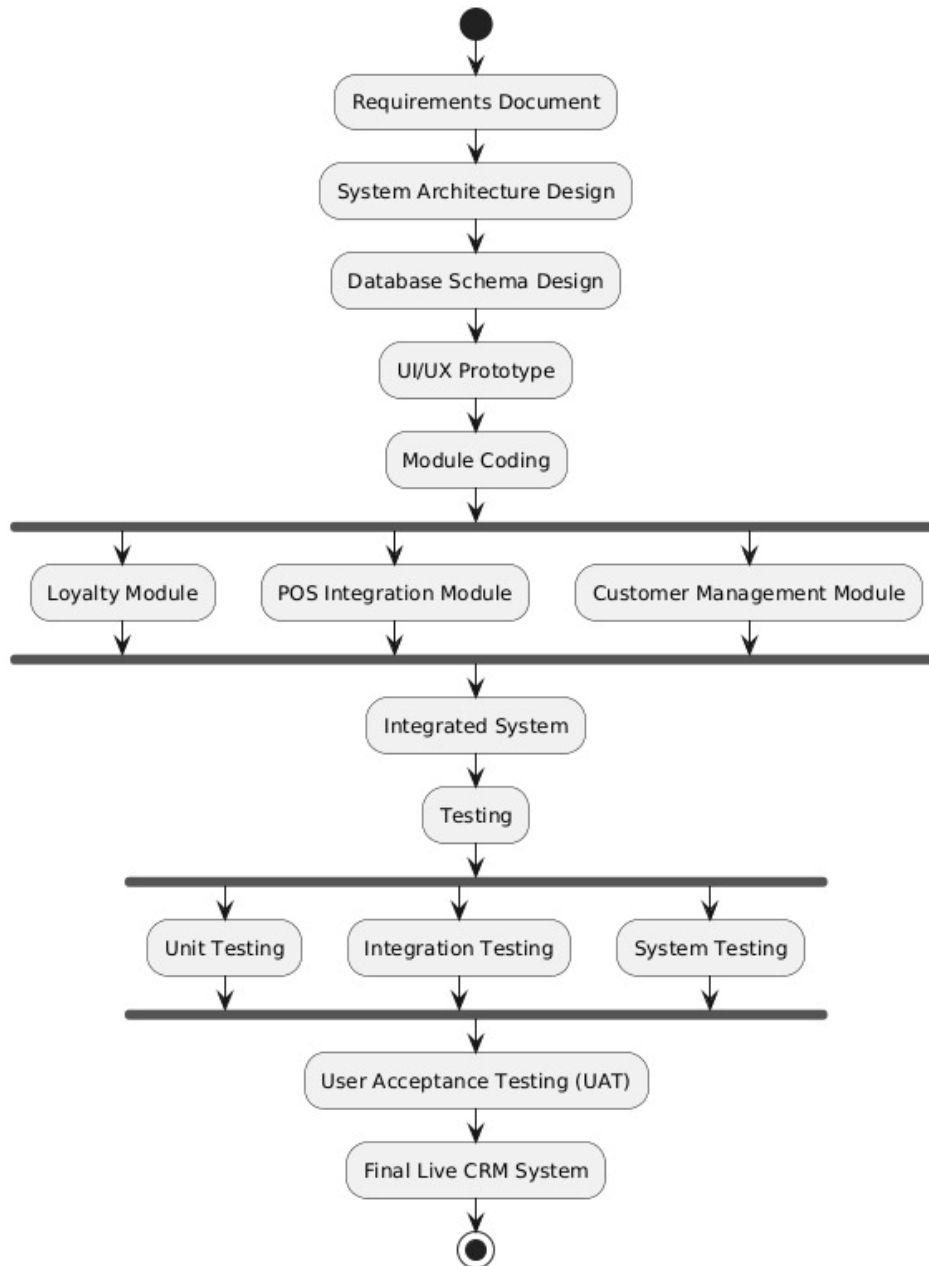
- **3.1 Product Flow:** Data flows from the Point of Sale (POS) at the fuel pump to the Central CRM Database at PSO HQ.
- **3.2 Product Categories:**
 - **System Products:** Database, API for Mobile App, POS Integration Module.
 - **Module Products:** Loyalty Points Calculator, Fleet Customer Portal, Automated SMS/Email Marketing Engine.
 - **Management Products:** Project Plan, Risk Log, User Training Manuals, Final Completion Report.

Step 4: Analyze Products (The Diagrams)

- **4.1 Product Breakdown Structure (PBS)**



- 4.2 Product Flow Diagram (PFD)



- 4.3 Ideal Activity Network

